



City of Benicia Annual and Five-Year Impact Fee Report

For the Fiscal Year Ending June 30, 2023

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INTRODUCTION AND BACKGROUND

In California, State legislation sets certain legal and procedural parameters for the charging of development impact fees. This legislation was passed as AB1600 by the California Legislature and is now codified as California Government Code Sections 66000 through 66008 ("Mitigation Fee Act"). This State law went into effect on January 1, 1989.

Requirements for Development Impact Fee Reporting

The Mitigation Fee Act imposes certain accounting and reporting requirements with respect to the fees collected. The fees must be deposited in a special account to avoid comingling the fees with the City's other revenues or funds. Interest on each development fee fund or account must be credited to that fund or account and used only for those purposes for which the fees were collected.

The Mitigation Fee Act also requires any local agency that imposes development impact fees to prepare an annual report and a five-year report that provide specific information about those fees. This report serves both of those functions and has been prepared for the City of Benicia for the fiscal year (FY) ended June 30, 2023 in accordance with the provisions of the California Government Code Section 66006 (b) and 66001 (d).

In addition to development impact fees, the City also collects Park In-Lieu Fees (also referred to as Quimby Fees) and water and wastewater capacity fees. In-lieu fees are an option offered to developers "in lieu" of providing specific on-site public benefits. Capacity fees are typically related to utilities such as water or wastewater and are used to cover costs associated with expanding the associated infrastructure systems to accommodate increased demand by new development. Although in-lieu and capacity fees are not considered impact fees as authorized by the Mitigation Fee Act, a recent court ruling, *Hamilton and High, LLC v. City of Palo Alto*, clarifies that cities must make five-year findings as specified in the Mitigation Fee Act on unspent fee revenue paid in lieu of constructing required improvements. The City's Park In-Lieu Fees are assessed pursuant to the Quimby Act under Government Section 66477 and are expressly exempt from the reporting requirements included in the Mitigation Fee Act.

Annual Report

California Government Code Section 66006 (b) requires each local agency that imposes Development Impact Fees under the Mitigation Fee Act to prepare an annual report providing specific information about those fees for the previous fiscal year. Specifically, Section 66006 (b) requires that for each separate fund, the local agency shall make available to the public the information shown below for the most recent fiscal year.

- 66006 (b) (1) (A): A brief description of the type of fee in the account or fund.
- 66006 (b) (1) (B): The amount of the fees.
- 66006 (b) (1) (C): The beginning (July 1) and ending (June 30) balance of a particular impact fee fund.

- 66006 (b) (1) (D): The amount of the fees collected and interest earned by fund.
- 66006 (b) (1) (E): An identification of each public improvement upon which fees were expended and the amount of expenditures on each improvement including the total percentage of the cost of the public improvement that was funded with fees.
- 66006 (b) (1) (F): An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.
- 66006 (b) (1) (G): A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.
- 66006 (b) (1) (H): A summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

State law requires the City to prepare and make available to the public the above information within 180 days after the last day of each fiscal year. The City Council must review the annual report at a regularly scheduled public meeting not less than fifteen days after the information is made available to the public. This report was posted on the City's website and made available at the City Clerk's office for public review on November 20, 2023.

Five-Year Report

California Government Code Section 66001 (d) (1) requires the local agency make all of the following findings every fifth year with respect to that portion of the account remaining unexpended, whether encumbered to a specific project or remaining unencumbered in an impact fee fund.

- 66001 (d) (1) (A): Identify the purpose to which the fee is to be put.
- 66001 (d) (1) (B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001 (d) (1) (C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001 (d) (1) (D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

Establishing a Reasonable Relationship Between the Fee and the Purpose for Which It Is Charged

Development Impact Fees provide the proportionate share of the funding for the City's capital facilities needs that can be reasonably attributed to new growth in the City. The revenue, in turn provides the transportation facilities, water and wastewater infrastructure, parkland, and library

improvements, necessary to mitigate the impacts of new residential, commercial, and industrial development on the City of Benicia and its residents and businesses.

To ensure a reasonable relationship between the fee and the purpose for which it is charged, development Impact Fees in the City of Benicia are derived based on mathematical calculations that consider future development, the facilities and infrastructure needed to serve that future development, and the estimated costs of those improvements. These mathematical calculations establish the relationship between contemplated future development, the facilities needed to serve that development, and the estimated costs of those improvements based on the City's Capital Improvement Plan (CIP). The Development Impact Fees are then used to fund facilities and infrastructure necessary to serve new development. Absent a comprehensive impact fee update, the Development Impact Fees are typically adjusted annually in accordance with the Engineering News Record Construction Cost Index.

Funding of Infrastructure

The State of California Government Code Section 66002 states that local agencies that have developed a fee program may adopt a CIP indicating the approximate location, size, and timing of projects, plus an estimate for the cost of all facilities or improvements to be financed by fees. The City of Benicia has developed and adopted a CIP. The City's current CIP (2019/20 – 2023/24, adopted May 28, 2019) can be found on the City's website at www.ci.benicia.ca.us.

As a CIP project is identified, the project is evaluated to determine the portion of the project that will serve existing residents and businesses versus new development. This analysis is used to determine the portion of the project that is eligible to receive impact fee funding. The anticipated funding and commencement dates for projects are indicated and may be adjusted, as needed, to reflect the needs of the community, funding constraints, and development priorities. Any modification of impact fee funding within the CIP requires Council action. CIP budget adjustments occur as needed wherein staff seeks City Council approval to modify the CIP list of projects, or to modify the budget allocated to specific CIP projects.

AB 602, which was adopted in 2021 and which amends the Mitigation Fee Act, requires adoption of a CIP along with the adoption of a fee program, effective January 1, 2022. The City's Impact Fee programs were adopted prior to January 1, 2022, but the requirements of AB 602 will apply to future updates. Under Government Code 66016.5, AB 602 requires that "large jurisdictions shall adopt a capital improvement plan as a part of the nexus study." Under Government Code 66002, "any local agency which levies a fee subject to Section 66001 may adopt a capital improvement plan, which shall indicate the approximate location, size, time of availability, and estimates of cost for all facilities or improvements to be financed with the fees."

ANNUAL REPORT

Description of Impact Fee Programs

66006(b)(1)(A) and 66013(d)(1)

The City has five development impact fee programs. Per City policy, the Parkland Improvement Impact Fee is only charged to new, non-subdivision, residential development in the City, and the Library Impact Fee is only charged to new residential development. The Transportation Impact Fee and the Water and Wastewater Capacity Fees are charged to all new development.

- 1. Water Capacity Fee (BMC 13.12.050).** The water capacity fee is a one-time charge that the City imposes on residential and non-residential customers that require new or expanded connections to the City's water system. The purpose of this fee is to fund a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide water capacity for new or expanded water connections.¹
- 2. Wastewater Capacity Fee (BMC 13.52.040).** The wastewater (also referred to as "sewer") capacity fee is a one-time charge that the City imposes on residential and non-residential customers that require new or expanded connections to the City's wastewater system. The purpose of this fee is to fund a proportionate share of the costs of existing and future wastewater system facilities and assets that are reasonably necessary to provide wastewater capacity to new or expanded wastewater connections.
- 3. Transportation Impact Fee (BMC 5.38).** The transportation fee is a one-time charge that the City charges to new development. The purpose of this fee is to fund planning, design, development, and construction of auto-oriented and multimodal transportation improvements which are reasonably necessary to mitigate the impacts of future development on the City's circulation network. Such improvements include, but are not limited to, roadway improvements, signalization improvements, other public right-of-way improvements such as bus shelters, and multimodal improvements, such as bikeways and sidewalks.
- 4. Library Impact Fee (BMC 5.37).** The library fee is a one-time charge that the City charges to new residential development. The purpose of the fee is to fund improvements to the City's library reasonably needed to serve new development, such as capital investments in the technology that supports the library systems, expansions of library infrastructure and facilities, and expansion of the quality and quantity of the collection held within the City's library.

¹ The water and wastewater capacity fees are subject to the reporting requirements in Government Code section 66013(d), rather than the requirements in sections 66006(b) and 66001(d). However, since the information required by sections 66006(b) and 66001(d) encompasses the information required by 66013(d), the City is complying with the water and wastewater capacity fee reporting requirements by including them in this impact fee report.

- 5. Parkland Improvement Impact Fee (BMC 5.39).** The parkland improvement fee is a one-time charge that the City charges to new non-subdivision residential development to fund the planning, designing, developing, and improving of the City’s parkland and trails. The purpose of the fee is to mitigate the impact of new development on the need for improved parkland and trails in the City.

Current Impact Fee Schedules

66006(b)(1)(B)

A comprehensive evaluation of the City’s five impact fee programs was undertaken in 2020 and the update was presented to the City Council at the December 15, 2020 Public Hearing and adopted at the January 5, 2021 meeting. The adopted library, parkland improvement, transportation, and water capacity fees were phased in, with the first phase going into effect on March 8, 2021 and the second (and final) phase going into effect on July 1, 2022.² The adopted wastewater capacity fees were not phased in and went into effect on March 8, 2021. In the following section, the fees that were in effect during the fiscal year ending June 30, 2023 are presented.

Library Improvement Impact Fees

The Library Improvement Impact Fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 1**.

Table 1 Library Improvement Impact Fees

Land Use	Library Impact Fee effective 7/1/22
Residential	<u>Fee Amount per Unit</u>
Single Family Unit	\$348
Multifamily Unit	\$270
Accessory Dwelling Unit (≥ 750 sq.ft.)	varies in proportion to size of primary residence

² See Resolution 21-2.

Parkland Improvement Impact Fees

The Parkland Improvement Impact Fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 2**.

Table 2 Parkland Improvement Impact Fees

Land Use	Parkland Improvement Impact Fee effective 7/1/22
Residential	<u>Fee Amount per Unit</u>
Single Family Unit	\$8,034
Multifamily Unit	\$6,235
Accessory Dwelling Unit (≥ 750 sq.ft.)	<i>varies in proportion to size of primary residence</i>

Transportation Impact Fees

The Transportation Impact Fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 3**.

Table 3 Transportation Impact Fees

Land Use	Transportation Improvement Impact Fee effective 7/1/22
Residential	<u>Fee Amount per Unit</u>
Single Family Unit	\$5,763
Multifamily Unit	\$3,227
Accessory Dwelling Unit (≥ 750 sq.ft.)	<i>varies in proportion to size of primary residence</i>
Nonresidential	<u>Fee Amount per 1,000 Building Square Feet (except lodging)</u>
Retail/Commercial	\$7,492
Service/Commercial	\$15,618
Institutional/Assembly	\$1,095
Office	\$5,360
Lodging <i>(fees are per room)</i>	\$2,017
Industrial	\$7,261
Warehouse/Distribution	\$2,190
Nonresidential Agricultural	\$2,075
Accessory Structures	

Water Capacity Fees

The Water Capacity Fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 4**.

Table 4 Water Capacity Fees

Land Use	Water Capacity Fees effective 7/1/22
Residential	
	<i>Fee Amount per Unit</i>
Single Family Unit	\$12,354
Multifamily Unit	\$8,423
	<i>Fee Amount per Sq.Ft.</i>
Accessory Dwelling Unit	\$4.41
Nonresidential	
	<i>Fee Amount per Meter Size</i>
Up to 3/4-inch	\$12,354
1-inch	\$20,591
1-1/2-inch	\$41,181
2-inch	\$65,890
3-inch	\$123,544
4-inch	\$205,907
6-inch	\$411,814
8-inch	\$658,903

Wastewater Capacity Fees

The Wastewater Capacity Fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 5** (Residential Fees) and **Table 5** (Nonresidential Fees).

Table 5 Residential Wastewater Capacity Fees

Land Use	Wastewater Capacity Fees <i>effective 3/8/21</i>
Residential	
	<i>Fee Amount per Unit</i>
Single Family Unit	\$14,257
Multifamily Unit	\$13,160
	<i>Fee Amount per Sq.Ft.</i>
Accessory Dwelling Unit	\$5.09

Table 6 Nonresidential Wastewater Capacity Fees

Meter Size	Wastewater Capacity Fees			
	effective 3/8/21			
Nonresidential	Fee Amount per Meter Size and Strength Classification			
	<u>Class A</u>	<u>Class B</u>	<u>Class C</u>	
	Up to 3/4-inch	\$18,167	\$19,869	\$22,792
	1-inch	\$30,244	\$33,077	\$37,944
	1-1/2-inch	\$60,591	\$66,268	\$76,017
	2-inch	\$96,925	\$106,006	\$121,601
	3-inch	\$181,669	\$198,690	\$227,921
	4-inch	\$302,748	\$331,113	\$379,826
	6-inch	\$605,598	\$662,339	\$759,781
	8-inch	\$968,937	\$1,059,719	\$1,215,624

Annual Financial Summary

**Table 7 Annual Financial Summary
Statement of All Impact Fee Programs'
Revenues, Expenditures, and Changes in Fund Balance
For the Fiscal Year Ending June 30, 2023**

Description	Development Impact Fee Program				
	Transportation	Park Improvement	Library	Water	Wastewater
REVENUES					
Fees	\$16,834	\$17,673	\$741	\$41,802	\$43,744
Interest	\$984	\$4,835	\$89	\$52,777	\$127,108
Total Revenues	\$17,818	\$22,508	\$830	\$94,579	\$170,853
EXPENDITURES					
Capital Improvements	\$0	\$0	\$0	\$28,944	\$0
Loan Payments	\$0	\$0	\$0	\$0	\$0
Other Expenditures	\$8,518	\$0	\$0	\$0	\$2,898
Total Expenditures	\$8,518	\$0	\$0	\$28,944	\$2,898
REVENUES OVER (UNDER)	\$9,300	\$22,508	\$830	\$65,635	\$167,955
EXPENDITURES					
Fund Balance, Beginning of Year	\$11,285	\$247,747	\$2,557	\$2,817,477	\$7,539,805
Prior Year(s) Budgeted Commitments	\$9,300	\$22,508	\$830	\$65,635	\$167,955
Fund Balance, End of Year [1]	\$20,585 [2]	\$270,255	\$3,387	\$2,883,112 [3]	\$7,707,759

[1] Fund Balance for FY 2022-23 is unaudited.

[2] Fund Balance for FY 2022-23 reflects an adjustment of -\$54 due to timing of audit.

[3] Fund Balance for FY 2022-23 reflects an adjustment of -\$386 due to timing of audit.

Library Impact Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) for the Library Impact Fee Program.

Table 8 Library Impact Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2023

Description	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22	FY 2022/23
REVENUES					
Fees	\$1,175	\$940	\$0	\$663	\$741
Interest [1]	\$199	\$244	\$36	\$11	\$89
Loan Payments	\$0	\$0	\$0	\$0	\$0
Total Revenues	\$1,374	\$1,184	\$36	\$674	\$830
EXPENDITURES					
Capital Improvements (e.g., Library Investments) [2]	\$0	\$0	\$17,889	\$0	\$0
Loan Payments	\$0	\$0	\$0	\$0	\$0
Other Expenditures	\$0	\$0	\$0	\$0	\$0
Total Expenditures	\$0	\$0	\$17,889	\$0	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$1,374	\$1,184	(\$17,853)	\$674	\$830
Fund Balance, Beginning of Year	\$17,178	\$18,552	\$19,736	\$1,883	\$2,557
Fund Balance, End of Year [3, 4]	\$18,552	\$19,736	\$1,883	\$2,557	\$3,387

[1] Interest earnings from investments are allocated across City funds quarterly based on each fund's cash balance.

[2] Expenditures were for circulation materials with a useful life of more than five years.

[3] Fund Balance includes an adjustment for FY 22/23 for Fair Market Value of 47.32, which is non-cash and should not be included in fund balance.

[4] Fund Balance for FY 2022-23 is unaudited.

**Table 9 Library Impact Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2023**

Improvement Name	FY 2022/23	Total Project Costs	2022/23 Impact Fee Expenditures as a % of Total Project Costs
Capital Expenditures	\$0	n/a	n/a
TOTAL, Capital Expenditures	\$0		
Materials & Services	\$0	n/a	n/a
Subtotal, Related Project Management Expenditures	\$0		
TOTAL	\$0		

Parkland Improvement Impact Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) for the Parkland Improvement Impact Fee Program.

**Table 10 Parkland Improvement Impact Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2023**

Description	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22	FY 2022/23
REVENUES					
Fees	\$10,620	\$18,381	\$0	\$16,555	\$ 17,673
Interest [1]	\$1,433	\$2,591	\$3,034	\$853	\$ 4,835
Loan Payments	\$0	\$0	\$0	\$0	0
Total Revenues	\$12,053	\$20,972	\$3,034	\$17,408	\$22,508
EXPENDITURES					
Capital Improvements	\$0	\$0	\$50,928	\$0	\$0
Loan Payments	\$0	\$0	\$0	\$0	\$0
Other Expenditures	\$0	\$0	\$0	\$0	\$0
Total Expenditures	\$0	\$0	\$50,928	\$0	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$12,053	\$20,972	(\$47,894)	\$17,408	\$22,508
Fund Balance, Beginning of Year	\$245,208	\$257,261	\$278,233	\$230,339	\$247,747
Fund Balance, End of Year [2,3]	\$257,261	\$278,233	\$230,339	\$247,747	\$270,255

[1] Interest earnings from investments are allocated across City funds quarterly based on each fund's cash balance.

[2] Fund Balance includes an adjustment for FY22/23 for Fair Market Value of 3,776.66, which is non-cash and should not be included in fund balance.

[3] Fund Balance for FY 2022-23 is unaudited.

Table 11 Parkland Improvement Impact Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2023

Improvement Name	FY 2022/23	Total Project Costs	2022/23 Impact Fee
			Expenditures as a % of Total Project Costs
Capital Expenditures	\$0	n/a	n/a
TOTAL, Capital Expenditures	\$0		

Transportation Impact Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) for the Transportation Impact Fee Program.

**Table 12 Transportation Impact Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2023**

Description	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22	FY 2022/23
REVENUES					
Fees	\$12,722	\$75,084	\$88,115	\$10,621	\$16,834
Interest [1]	\$27,046	\$25,422	\$1,969	(\$687)	\$984
Deferred Revenue	\$0	\$0	\$0	\$14,577	\$0
Total Revenues	\$39,768	\$100,506	\$90,084	\$24,511	\$17,818
EXPENDITURES					
Capital Improvements	\$37,373	\$103,390	\$47,225	\$927,890	\$0
Loan Payments	\$0	\$0	\$0	\$0	\$0
Other Expenditures [2]	\$11,640	\$9,575	\$5,350	\$8,800	\$8,518
Total Expenditures	\$49,013	\$112,966	\$52,575	\$936,690	\$8,518
REVENUES OVER (UNDER) EXPENDITURES	(\$9,245)	(\$12,460)	\$37,509	(\$912,179)	\$9,300
Prior Year Fund Balance Adjustment [3]			\$1,084	(\$1,276)	(\$10,924)
Fund Balance, Beginning of Year	\$919,953	\$910,709	\$898,249	\$935,566	\$11,286
Fund Balance, End of Year [4]	\$910,709	\$898,249	\$936,842	\$22,210	\$20,585

[1] Interest is composed of loan interest revenue and investment earnings, which was negative in FY2022 and is allocated across City funds quarterly based on each fund's cash balance.

[2] Other Expenditures includes materials, supplies, and professional/technical consulting services.

[3] The line item accounts for fund balance adjustments required following the annual audit.

[4] Fund Balance for FY 2022-23 is unaudited.

Table 13 Transportation Impact Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2023

Improvement Name	FY 2022/23	Total Project Costs	2022/23 Impact Fee Expenditures as a Percent of Total Project Costs
Capital Expenditures	\$0	n/a	n/a
Subtotal, Capital Expenditures	\$0		
Other Expenditures			
Allocation for City Staff			
Materials & Services [1]	\$8,518	n/a	n/a
Subtotal, Other Expenditures	\$8,518		
TOTAL	\$8,518		

[1] Expenditures in FY 2022/23 were for planning, design, and engineering work.

Water Capacity Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) and Section 66013(d)(2), (3), and (4)(A) and (B) for the Water Capacity Fee Program.

Table 14 Water Capacity Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2023

Description	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22	FY 2022/23
REVENUES					
Fees	\$55,735	\$68,022	\$17,632	\$52,402	\$41,802
Interest [1]	\$69,036	\$68,799	\$7,961	\$22,487	\$52,777
Deferred Revenue	\$0	\$0	\$0	\$18,690	\$0
Total Revenues	\$124,771	\$136,821	\$25,593	\$93,579	\$94,579
EXPENDITURES					
Capital Improvements	\$233,275	\$0	\$0	\$66,027	\$28,944
Other Expenditures	\$154,340	\$0	\$0	\$53	\$0
Total Expenditures	\$387,614	\$0	\$0	\$66,080	\$28,944
REVENUES OVER (UNDER) EXPENDITURES	(\$262,843)	\$136,821	\$25,593	\$27,499	\$65,635
Prior Year Fund Balance					
Adjustment [2]				\$939	\$998
Fund Balance, Beginning of Year	\$2,889,418	\$2,626,574	\$2,763,395	\$2,789,927	\$2,817,477
Fund Balance, End of Year [3,4,5]	\$2,626,574	\$2,763,395	\$2,788,988	\$2,816,479	\$2,883,112

[1] Interest is allocated across City funds quarterly based on each fund's cash balance.

[2] The line item accounts for fund balance adjustments required following the annual audit.

[3] Fund Balance includes an adjustment for FY22/23 for Fair Market Value of 40,295.26, which is non-cash and should not be included in fund balance.

[4] Fund Balance excludes \$3,652,291.05 of Net Capital Assets.

[5] Fund Balance for FY 2022-23 is unaudited.

**Table 15 Water Capacity Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2023**

Improvement Name	FY 2022/23	Total Project Costs	2022/23 Impact Fee Expenditures as a % of Total Project Costs
West 7th St 12-inch Water Main Improvement Project [1]	\$28,944	\$2,091,652	1%
Subtotal, Capital Expenditures	\$28,944		
TOTAL	\$28,944		

[1] Engineering design services that are in progress.

Wastewater Capacity Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) and Section 66013(d)(2), (3), and (4)(A) and (B) for the Wastewater Capacity Fee Program.

Table 16 Wastewater Capacity Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2023

Description	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22	FY 2022/23
REVENUES						
Fees	\$86,950	\$17,467	\$66,563	\$12,927	\$34,018	\$43,744
Interest [1]	\$68,868	\$302,756	\$243,262	\$22,732	\$43,548	\$127,108
Deferred Revenue	\$0	\$0	\$0	\$0	\$29,337	\$0
Total Revenues	\$155,818	\$320,223	\$309,825	\$35,659	\$106,903	\$170,853
EXPENDITURES						
Capital Improvements	\$9,916	\$8,252	\$3,417,645	\$0	\$0	\$0
Loan Payments	\$0	\$0	\$0	\$0	\$0	\$0
Other Expenditures	\$34,590	\$47,440	\$0	\$0	\$0	\$2,898
Total Expenditures	\$44,506	\$55,692	\$3,417,645	\$0	\$0	\$2,898
REVENUES OVER (UNDER) EXPENDITURES	\$111,312	\$264,531	(\$3,107,820)	\$35,659	\$106,903	\$167,955
Prior Year Fund Balance Adjustment [2]					\$1,372	(\$11,493)
Fund Balance, Beginning of Year	\$10,139,341	\$10,250,652	\$10,515,183	\$7,407,364	\$7,444,395	\$7,539,805
Fund Balance, End of Year [3,4,5]	\$10,250,652	\$10,515,183	\$7,407,364	\$7,443,023	\$7,551,298	\$7,707,759

[1] Interest is allocated across City funds quarterly based on each fund's cash balance.

[2] The line item accounts for fund balance adjustments required following the annual audit.

[3] Fund Balance includes an adjustment for FY22/23 for Fair Market Value of 107,711.58, which is non-cash and should not be included in fund

[4] Fund Balance excludes \$13,357,070.58 of Net Capital Assets.

[5] Fund Balance for FY 2022-23 is unaudited.

**Table 17 Wastewater Capacity Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2023**

Improvement Name	FY 2022/23	Total Project Costs	2022/23 Impact Fee Expenditures as a % of Total Project Costs
Capital Expenditures	<u>\$0</u>	n/a	n/a
TOTAL, Capital Expenditures	<u><u>\$0</u></u>		
Related Project Management Expenditures			
Materials & Services (Consultant Services) [1]	<u>\$2,898</u>	n/a	n/a
Subtotal, Related Project Management Expenditures	<u><u>\$2,898</u></u>		
TOTAL	<u><u>\$2,898</u></u>		

Note: Consistent with the requirements of Government Code 66013(d)(4)(B), which governs reporting for water and wastewater capacity fees, the City indicates that there were no wastewater system improvements completed in FY 2022/23 for which impact fee revenue was expended.

[1] Expenditures in FY 2022/23 were for planning, design, and engineering work.

Approximate Date of Construction

66006(b)(1)(F)

Section 66006 (b) (1) (F) of the Mitigation Fee Act requires an identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement. The City of Benicia has determined that there are several public improvements for which sufficient funds have been collected to complete financing. There were not any projects completed in FY 2022/2023 that were partially or wholly funded with impact or capacity fees. Several projects that were expected to begin construction in FY 2022/2023 were delayed due to unplanned reallocations of staff resources to respond to emergency events (e.g., reservoir management to prevent flooding in the industrial park, repairs to the pedestrian bridge after it was hit, and response following the emergency raw water transmission line break). The deferred projects are expected to begin construction in the next three years.

1. Emergency Standby Power Upgrade

- Funded with water capacity fee revenue.
- Construction is planned to begin in FY 2024/2025.

2. West 7th St. 12-inch Water Main Improvement

- Funded with water capacity fee revenue.
- Design work is in-progress and at 95%.
- Construction is planned to begin in FY 2023/2024.

3. Lift Stations Electrical Improvements

- Funded with wastewater capacity fee revenue.
- Construction is planned to begin in FY 2026/2027.

4. E. 7th Street & B St. Lift Station Improvements

- Funded with wastewater capacity fee revenue.
- Construction is planned to begin in FY 2026/2027.

5. ECR-1 and ECR-2 Electrical Distribution Modifications³

- Funded with wastewater capacity fee revenue.
- Construction is planned to begin in FY 2026/2027.

6. Effluent Diversion (Wrap Around) Pipe Replacement

- Project will result in an increase to peak discharge flow.
- Funded with wastewater capacity fee revenue and rate revenue.
- Construction is planned to begin in FY 2026/2027.

7. Park Road Forcemain

- Funded with wastewater capacity fee revenue and rate revenue.
- Construction is planned to begin in FY 2027/2028.

³ ECR stands for Electrical Control Room.

Interfund Transfers or Loans

66006(b)(1)(G) and 66013(d)(5)

Section 66006 (b) (1) (G) of the Mitigation Fee Act requires a description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.

In the fiscal year ended June 30, 2023, there were no interfund transfers or loans made from any of the impact fee or capacity fee funds.

Summary of Refunds

66006(b)(1)(H)

Section 66006 (b) (1) (H) of the Mitigation Fee Act requires a summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

At this time, all fees collected have been earmarked for current or future capital projects necessary to maintain the current levels of service to serve new development. There were no refunds made from any of the impact fee or capacity fee funds.

FIVE-YEAR REPORT AND FINDINGS

California Government Code Section 66001(d)(1) requires the City to make findings every fifth year with respect to that portion of each impact fee account that remains unexpended, whether encumbered to a specific project or remaining unencumbered in an impact fee fund. As of June 30, 2023, all five funds have unexpended balances, as indicated on **Table 8, Table 10, Table 12, Table 14, and Table 16**. Therefore, the City is reporting the following findings relating to each of the fee programs.

- 66001(d)(1)(A): Identify the purpose to which the fee is to be put.
- 66001(d)(1)(B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001(d)(1)(C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001(d)(1)(D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

Library Impact Fee

- The purpose of the library impact fee is to mitigate the impact of new residential development on the need for library infrastructure and facilities and to expand the quality and quantity of the collection held within the City's library so that the current level of service can be maintained as the City's population increases.
- The library fee is a one-time charge that the City charges to new residential development to ensure that as new residential development occurs, the associated growth in the City's resident population will not negatively impact the City's ability to maintain the current level of service. The fee generates revenue that the City can then use to fund improvements to the City's library that are reasonably needed to serve new development, such as capital investments in the technology that supports the library systems, expansions of library infrastructure and facilities, and expansion of the quality and quantity of the collection held within the City's library.
- There is an unexpended balance in the library impact fee fund, which is expected to be used to fund improvements to finishing the basement space in the library, which will allow the currently unfinished space to be used for library events and expanded programming.
- The estimated timing and cost of the project are shown below in **Table 18**. This project is described in the City's CIP and is expected to begin in FY 2023/24. The balance of the project costs is expected to be funded with grants and other revenue.

Table 18 Development Fee Project Identification: Library

Project Number	Project Name	CIP	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue
BR-006	Library Basement Finishing	Yes	2023/24	\$914,000	0.5%	\$5,000

Parkland Improvement Impact Fee

- The purpose of the parkland improvement fee is to mitigate the impact of new development on the need for improved parkland and trails in the City so that the ratio of improved parkland and trails per 1,000 residents is maintained as the City's population increases.
- The parkland improvement fee is set at a level to ensure that as new development occurs, the associated growth in the City's resident population will not negatively impact the City's ability to maintain the current ratio of improved parkland and trails per 1,000 residents. The fee generates revenue that the City can then use to fund parkland and trail improvements that expand the City's inventory of improved parkland and trails. This methodology is documented in the Nexus Study and ensures that there is a reasonable relationship between the fee and the purpose for which it charged.
- There is an unexpended balance in the parkland improvement fee fund, which is expected to be used to fund improvements to the Urban Waterfront Enhancement and Implementation of the Bay Trail and Plaza Recommendations.
- The estimated timing and cost of the project are shown below in **Table 19**. This project is described in the City's CIP and is expected to begin in FY 2025/26. The balance of the project costs is expected to be funded with Measure C revenue and possible grant revenue.

Table 19 Development Fee Project Identification: Parks

Project Number	Project Name	CIP	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue
P-042	Urban Waterfront Enhancement (Waterfront Park); Implementation of Bay Trail and Plaza Recommendations	Yes	2025/26	\$1,000,000	29.0%	\$290,000

Transportation Impact Fee

- The purpose of the transportation impact fee is to mitigate the impact of new development on the need for roadway improvements, signalization improvements, other public right-of-way improvements such as bus shelters, and multimodal improvements, such as bikeways and sidewalks.
- The transportation impact fee is set at a level to ensure that as new development occurs, it contributes a proportionate share of costs to fund improvements that mitigate the impacts of future development on the City's circulation network. The methodology is documented in the Nexus Study and ensures that there is a reasonable relationship between the fee and the purpose for which it charged.
- There is an unexpended balance in the transportation impact fee fund, which is expected to be used to fund the Park Road improvements which are needed to mitigate the impacts of future development on the City's circulation network.
- The estimated timing and cost of the project are shown below in **Table 20**. This project is described in the City's CIP and is expected to begin in FY 2028/29. The balance of the project costs is expected to be funded with Gas Tax and General Fund revenue.

Table 20 Development Fee Project Identification: Transportation

Project Number	Project Name	CIP	Project Phase	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue
T-144	Park Road Improvement Project	Yes	Planning	2028/29	\$5,000,000	50.0%	\$2,500,000

Water Capacity Fee

The following water section also satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following year.

- The purpose of the water capacity fee is to fund a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide water capacity for new or expanded water connections.
- The fees are based on an average cost approach under which new or expanded connections would fund their proportionate share of costs for capacity needed in existing and planned water system facilities and assets. Under this approach, new connections pay for their proportionate share of the average cost of facilities needed to meet the demands of the City's service area through projected build-out in 2040. This methodology ensures that there is a reasonable relationship between the fee and the purpose for which it is charged and is documented in the Water & Wastewater Capacity Fee Update study, prepared November 2020 and available on the City's website.
- There is an unexpended balance in the water capacity fee fund, which is expected to be used to fund improvements to the water system facilities and assets. The projects are described in the 2020 Water Condition Assessment, prepared by the engineering firm Stantec and based on input from the City's engineering staff.
- The estimated timing and cost of the project are shown below in **Table 21**. To the extent a specific project cannot be fully funded with capacity fee revenue, the balance of the costs is expected to be funded with ratepayer revenue.

Table 21 Development Fee Project Identification: Water

Project Number	Project Name	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue
WD-006	Reliability Transmission Main from WTP	2027/28	\$5,398,000	31%	\$1,649,389
RW-001	Lake Herman Pump Station Improvements	2025/26	\$2,945,000	100%	\$2,945,000
WD-012	Jackson St Reliability Loop	2025/26	\$418,000	100%	\$418,000
WTP-019	WTP SCADA Improvements	2026/27	\$1,977,000	100%	\$1,977,000
WTP-016	Finish Water Sample Pump	2028/29	\$406,000	100%	\$406,000
WTP-017	Power Distribution Upgrade	2028/29	\$3,073,000	100%	\$3,073,000
WTP-018	Emergency Standby Power Upgrade	2024/25	\$930,000	100%	\$930,000
WO-082	West 7th St 12-inch Water Main Improvement	2023/24	\$2,091,652	30%	\$627,496
BPS-002	Booster Pump Station - 2	2026/27	\$3,636,000	50%	\$1,818,000
BPS-003	Booster Pump Station - 3	2026/27	\$2,628,000	50%	\$1,314,000
RW-002	Cordelia Pump Station Improvements	2025/26	\$6,802,000	100%	\$6,802,000
RW-003	Parallel Raw Water Transmission Line	2026/27	\$116,594,000	100%	\$116,594,000
WD-014	Vallejo Treated Water Intertie	2026/27	\$7,803,000	100%	\$7,803,000
WTP-027	Ozonation System	2026/27	\$24,768,000	100%	\$24,768,000
WTP-007	Filter Pipe Gallery Improvements	2026/27	\$832,000	100%	\$832,000

[1] These projects are eligible to be 100% funded with capacity fee revenue but may need supplemental funding if impact fee revenue is not sufficient.

Wastewater Capacity Fee

The following wastewater section also satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following year.

- The purpose of the wastewater capacity fee is to fund a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide wastewater capacity for new or expanded water connections. The fees are based on an average cost approach under which new or expanded connections would fund their proportionate share of costs for capacity needed in existing and planned wastewater system facilities and assets. Under this approach, new connections pay for their proportionate share of average cost of facilities needed to meet the demands of the City's service area through projected build-out in 2040. This methodology ensures that there is a reasonable relationship between the fee and the purpose for which it is charged and is documented in the Water & Wastewater Capacity Fee Update study, prepared November 2020 and available on the City's website.
- There is an unexpended balance in the wastewater capacity fee fund, which is expected to be used to fund improvements to the wastewater system facilities and assets. The projects are described in the 2020 Water Condition Assessment, prepared by the engineering firm Stantec and based on input from the City's engineering staff.
- The estimated timing and cost of the project are shown below in **Table 22**. To the extent a specific project cannot be fully funded with capacity fee revenue, the balance of the costs is expected to be funded with ratepayer revenue.

Table 22 Development Fee Project Identification: Wastewater

Project Number	Project Name	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue
LS-001	Lift Stations Electrical Improvements	2026/27	\$1,944,000	100%	\$1,944,000
LS-003	E 7th Street & B St Lift Station Improvements	2026/27	\$995,000	100%	\$995,000
WWTP-025	ECR-1 and ECR-2 Electrical Disbution Modifications	2026/27	\$2,961,000	50%	\$1,480,500
WWTP-029	Control System Improvements	2023/24	\$1,025,000	50%	\$512,500
WWC-019	Bayshore Road	2026/27	\$3,222,000	27%	\$854,816
WWTP-013	Effluent Diversion (Wrap Around) Pipe Replacement	2026/27	\$210,000	50%	\$105,000
WWC-023	Park Road Forcemain	2027/28	\$2,789,000	50%	\$1,394,500
WWTP-026	MCC Modifications and Improvements	2026/27	\$8,711,000	100%	\$8,711,000
WWTP-033	Plant Site Civil Improvements	2029/30	\$168,000	100%	\$168,000
LS-004	Lift Station Improvements	2028/29	\$905,000	100%	\$905,000
LS-002	Barn & Park Lift Station Improvements	2028/19	\$1,403,000	100%	\$1,403,000
WWC-001	181 East K St Sewer Replacement	2024/25	\$750,000	25%	\$187,500
WWC-006	500 East H St Sewer Replacement	2024/25	\$500,000	25%	\$125,000